

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

AMERICAN IRON & METAL COMPANY INC., *Complainant*

v.

PRIVA LOGISTICS INC., *Respondent*.

DOCKET NO. 25-13

Served: April 20, 2026

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

SCHEDULING ORDER

On March 24, 2026, I held a prehearing conference for the purposes set forth in 46 C.F.R. § 502.209(a)(1). Both parties appeared through counsel and Respondent's owner, Priyanka Dutta, also attended. Prior to the conference, the parties submitted a Joint Prehearing Statement in accordance with 46 C.F.R § 502.210. Dkt. 16. The statement describes the parties' formulation of the issues, the stipulated facts, disputed facts, proposed witnesses and exhibits, objections to proposed exhibits, and the parties' statements of applicable law with proposed conclusions.

I. The Parties' Claims

American Iron & Metal Company Inc. ("AIM") is a Canadian corporation engaged in the recycling and processing of scrap metal. Priva Logistics Inc. is a New York corporation licensed to operate as a non-vessel operating common carrier (NVOCC). In the Verified Complaint [Dkt. 1], AIM seeks an unspecified amount of damages including "demurrage charges for freight not yet released or invoiced, storage fees, disruption of commercial relationships, damage to its business reputation, and additional operational costs" arising out of Priva's alleged refusal to release Sea Waybills (SWB) for AIM shipments destined for Italy and India. Priva allegedly held these SWBs to secure payment of expenses it incurred because of AIM's alleged misdeclaration of certain shipments that were subject to a customs hold in Malaysia. As of the date of AIM's complaint, the shipment to Italy had arrived and the shipment to India was still in transit. Both shipments have since been released and delivered.

In the joint prehearing statement, AIM claims that Priva's refusal to release the SWBs for fully paid shipments unrelated to the Malaysian customs issue, and its assessment of per-container per-day "administrative" charges for the Malaysian containers, constitutes violations of 46 U.S.C. §§ 41102(c) (unreasonable practices) & (d) (retaliation or unjust discrimination), 41104(a)(10) (unreasonable refusal to deal or negotiate), (14) (charges inconsistent with law), (15) (invoice not compliant with regulations), and 46 C.F.R. § 515.32(d) (requiring detailed breakout of charges on request). This is a change from the complaint, in which AIM alleges

violations of unspecified subsections of 46 U.S.C. §§ 41102 and 41104, as well as 46 C.F.R. §§ 545.4 (elements of a § 41102(c) claim) and 545.5 (incentive principle applied to detention and demurrage charges), with no mention of § 513.32(d). At the prehearing conference, AIM explained that the factual predicate for the § 41104 violation is the same as for the alleged § 41102(c) violation, the same as stated in the complaint, and that AIM is advancing § 41104(a)(10), (14)-(15), and 46 C.F.R § 515.32(d) as alternate legal theories of recovery, not factually distinct claims.

In the interest of having an operative complaint that accurately reflects not only the factual bases of the claims, but also the legal theories that complainant intends to argue, I instructed AIM to amend its complaint. The amendment will be for the sole purpose of conforming the complaint to the joint prehearing statement by identifying all legal theories of recovery in accordance with the Commission's Rules. See 46 C.F.R. § 502.62(a)(3)(ii) (complaints must contain "specific designation of the statutory provisions alleged to have been violated") and (v) (if the "complaint fails to indicate the sections of the Act alleged to have been violated...the Commission may, on its own initiative, require the complaint to be amended to supply such further particulars as it deems necessary.")

In its counterclaim, Priva alleges that AIM misdeclared the contents of the Malaysian containers, identifying it as aluminum alloy, when it was in fact "zorba." According to Priva, zorba is a material recovered from shredded scrap sources containing aluminum, other non-ferrous metals, and possibly contaminants, the importation of which is restricted or prohibited in Malaysia. The alleged misdeclaration has resulted in a customs hold and in CMA CGM, the ocean carrier that transported the Malaysia containers, assessing a \$70,000 charge to Priva, which AIM has refused to pay (along with other administrative expenses that Priva seeks to recover). Priva alleges that this misdeclaration is a violation of 46 U.S.C. § 41102(a), which prohibits any person from knowingly obtaining or attempting to obtain ocean transportation for less than applicable rates by any unjust or unfair means.

II. Evidence

The parties have included factual stipulations in their joint prehearing statement, and each party intends to rely on a single witness. AIM intends to rely on Mark Hudson, the former Vice President of Logistics for AIM. Priva intends to rely on the testimony of Priyanka Dutta, Priva's owner. Both witnesses have been deposed, and the parties designated the portions of their depositions to be relied on in the joint prehearing statement.

The parties exchanged exhibits and noted their objections to exhibits in the joint prehearing statement. Both parties made extensive use of hearsay objections, AIM with respect to Priva's proffered exhibits and Priva with respect to Mr. Hudson's deposition testimony. I pointed out that hearsay is admissible in Commission proceedings as long as the evidence is relevant and material:

Consistent with guidelines set out in the APA and Commission rules governing the admission of evidence, "[i]n comparison with court trials, administrative adjudications generally are governed by liberal evidentiary rules that create a

strong presumption in favor of admitting questionable or challenged evidence.” Ernest Gellhorn & Ronald M. Levin, *Administrative Law and Process* 255 (4th ed. 1997). In administrative proceedings, “[a]n agency Administrative Law Judge (ALJ) should admit all relevant and arguably reliable evidence and then should determine the relative probative value of the admitted evidence when ... [he] writes ... [his] findings of fact.” Kenneth Culp Davis & Richard J. Pierce, Jr., 2 *Administrative Law Treatise* § 10.1, p. 117 (3d ed. 1994).

With regard to hearsay evidence, the APA provides that hearsay need not be excluded unless irrelevant, immaterial, or unduly repetitious. In the administrative context, “...it makes sense to save the time and effort that would be spent on ruling on questions of admissibility, and let the decisionmakers take account of the lesser probative value of hearsay or other questionable evidence in making their findings. In other words, the fact that a particular bit of evidence is hearsay should go to its weight, but not to its admissibility, in a formal agency adjudication.” Gelhorn & Levin, *supra* at 257. The admissibility of hearsay evidence in administrative proceedings has been acknowledged by the courts: “If hearsay evidence satisfies the APA standard, agencies may consider it...” *Anderson v. U.S.*, 799 F. Supp. 1198, 1202 (CIT 1992). Agencies thus consider hearsay evidence in light of its “ ‘truthfulness, reasonableness, and credibility.’ ” *Veg-Mix, Inc. v. U.S. Dept. of Agriculture*, 832 F.2d 601, 606 (D.C. Cir. 1987) (quoting *Johnson v. U.S.*, 628 F.2d 187, 190-191 (D.C. Cir. 1980).

EuroUSA Shipping, Inc., et al. – Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission’s Regulations at 46 C.F.R. § 515.27, Docket No. 06-06, 31 S.R.R. 540, 547 (FMC Dec. 18, 2008). Rulings on the admissibility of any particular item of evidence will be deferred until briefing, and parties seeking the exclusion of evidence will be expected to explain why the evidence is irrelevant or unreliable.

Priva has also identified certain AIM exhibits (Exs. 20, 23, and 24) as settlement communications. I have not reviewed these letters, but I advised AIM at the prehearing conference that settlement communications should not be submitted as evidence.

It appears that there are documents in the record issued by Malaysian customs officials. I advised the parties that if they intend to rely on these documents, they must submit translations.

III. The parties’ request for an oral hearing

Commission Rule 62 states that when filing a complaint, the “complaint should designate whether an oral hearing is requested and the desired place for any oral hearing. The presiding officer will determine whether an oral hearing is necessary.” 46 C.F.R. § 502.62(a)(5). Both parties initially requested an oral hearing. In the prehearing statement, AIM withdrew this request, while Priva maintained that an oral hearing was warranted. As explained by Judge Kline in 2001:

It is the Commission's policy to seek to decide cases on the basis of written evidence unless the nature of the issues is such that an oral trial-type hearing is necessary. See the Order of Investigation and Hearing in the instant case at 5; *Avoidance of Trial-type Oral Hearings*, Informal Statement of Policy, 17 S.R.R. 457 (1977). The use of such "paper" hearings has been upheld by numerous courts. See, e.g., *State of Pa. v. Riley*, 84 F.3d 125, 130 (3rd Cir. 1996), and cases cited therein; *Boston Carrier, Inc. v. I.C.C.*, 728 F.2d 1508, 1511 n. 5 (D.C. Cir. 1984); *Cities of Carlisle and Neola, Iowa v. F.E.R.C.*, 741 F.2d 429, 431 (D.C. Cir. 1984).

Stallion Cargo, Inc.-Possible Violations of Sections 10(A)(1) and 10(B)(1) of the Shipping Act of 1984, Docket No. 99-18, 2001 WL 379928, at *28 n. 4 (ALJ March 15, 2001) (aff'd in part and vacated in part, 2001 WL 35725562 (FMC Oct. 18, 2001)).

I reviewed the parties' statements of disputed facts to determine whether the issues in this proceeding necessitate an oral hearing. At the prehearing conference, I identified several of the parties' "disputed facts" as legal disputes. For example, AIM states that it "did not provide any 'false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means' to obtain or attempt to obtain the ocean transportation of property at less than rates or charges." Joint Prehearing Statement 18. Whether such a statutory violation occurred is a legal determination. As a factual matter, the parties concede that their relevant communications regarding the shipments occurred by email, and that those emails are in the record. As are the relevant bills of lading, invoices, etc. Whatever the parties said to each other regarding the contents of the Malaysia-bound containers, and whatever was declared, is not genuinely in dispute. The parties similarly conceded at the conference that the facts supporting the amounts of their reparation claims and the details of the India and Italy shipments are reflected in the record and not genuinely disputed.

It appears that there are two factual issues genuinely in dispute: the actual contents of the Malaysia-bound containers and the circumstances surrounding the apparent alteration of the bill of lading for the ten containers subject to the customs hold. It is not clear that these issues are material to the outcome of the proceeding. Even assuming that they are, the parties conceded at the conference that neither witness has personal knowledge as to what was loaded into the containers, nor do they have personal knowledge as to how the documents were altered. As to the containers, both witnesses would be looking at preloading pictures of the material and stating their opinion as to what the material is. Neither witness has any knowledge related to the document alteration.

An oral hearing would therefore not meaningfully aid in developing the record for decision. Priva's request for an oral hearing is **DENIED**, and the parties must proceed with briefing as discussed at the conference and set forth below. As discussed at the conference, I have included a date for Priva's sur-reply in light of its pending counterclaim. The parties must carefully review paragraphs 23 through 39 of the Initial Order [Dkt. 5], relating to formatting of the briefs, appendices, and handling of confidential material. Filings that fail to conform to the requirements of the Initial Order or the Commission's rules may be rejected.

The parties are hereby **ORDERED** to follow this schedule:

Amended Complaint	April 28,2026
Amended Answer	June 2, 2026
Complainant/Counterclaim Respondent's Brief, Proposed Findings of Fact, and Appendix	April 28, 2026
Respondent/Counterclaimant's Brief, Proposed Findings of Fact, Response to Complainant's Proposed Findings of Fact, and Appendix	June 2, 2026
Complainant/Counterclaim Respondent's Reply in support of its claims and Opposition to Counterclaim brief, with response to proposed findings of fact with respect to counterclaim	June 16, 2026
Respondent's Reply Brief	June 30, 2026

**ALEX
CHINTELLA**

Digitally signed by
ALEX CHINTELLA
Date: 2026.04.20
14:56:48 -04'00'

Alex M. Chintella
Administrative Law Judge